

BUSA 7250 - FINAL EXAM ANSWERS

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1. Teams in Professional Services Firms

Teams are fundamental to the success of professional services firms, as they bring together diverse skills and perspectives to solve complex problems. The stages of team development—forming, storming, norming, performing, and adjourning—are crucial for understanding how teams evolve and become effective. In the forming stage, team members are introduced and begin to understand the team's purpose. The storming stage involves conflict and competition as individuals assert their ideas. As the team moves into the norming stage, members start to resolve differences and establish norms for collaboration. The performing stage is characterized by high productivity and cohesion, while the adjourning stage marks the completion of the team's objectives.

Enhancing work team effectiveness requires clear goals, defined roles, open communication, and mutual trust. Leaders play a vital role in facilitating team processes, resolving conflicts, and motivating members. Effective teams also benefit from diversity, as varied backgrounds and expertise contribute to innovative solutions. Regular feedback and recognition further strengthen team performance, ensuring that members remain engaged and committed to shared objectives.

In professional services firms, teams often work on client projects that demand high levels of coordination and adaptability. The ability to navigate the stages of team development and implement strategies for effectiveness directly impacts the firm's reputation and client satisfaction. By fostering a culture of collaboration and continuous improvement, firms can maximize the potential of their teams.

Reference: LECTURE 2 LEADING TEAMS CHPT 91.md – “Ex 9.3, Stages of Team Development” and “Enhancing Work Team Effectiveness” (pgs 191, 193-197)

2. Structure and Legal Business Forms

The structure of a business significantly influences its operations, liability, and tax obligations. The main legal business forms include the sole proprietorship, partnership, limited partnership (Ltd), and corporation. A sole proprietorship is owned and operated by one individual, offering simplicity and direct control but exposing the owner to unlimited liability. Partnerships involve two or more individuals sharing ownership, resources, and profits, with general partners bearing unlimited liability and limited partners having liability restricted to their investment.

Corporations are separate legal entities from their owners, providing limited liability protection and the ability to raise capital through the sale of shares. This structure, however, involves more regulatory requirements and potential double taxation. Limited liability partnerships (LLPs) combine elements of partnerships and corporations, offering flexibility and liability protection for partners.

Choosing the appropriate legal form depends on factors such as the desired level of control, liability tolerance, tax considerations, and the need for external investment. Each structure has distinct advantages and disadvantages that must be carefully weighed to align with the business's goals and risk profile.

Reference: LECTURE SEVEN -CHAPTER 17 - MANAGING SERVICE ORGANIZATIONS and LTD LLP SOLE PROP.md – “Structure and Legal Business Forms” section

3. The Three Levels of Organizational Culture and Keys to Success

Organizational culture operates on three levels: artifacts, espoused values, and basic underlying assumptions. Artifacts are the visible elements of culture, such as dress code, office layout, and rituals. Espoused values represent the stated principles and standards that guide behavior within the organization. Basic underlying assumptions are the deeply ingrained beliefs and values that are often taken for granted and guide actions unconsciously.

A successful organizational culture is characterized by clear communication, shared values, and a strong sense of identity among members. Leaders play a pivotal role in shaping and reinforcing culture by modeling desired behaviors and recognizing contributions that align with organizational values. Consistency between stated values and actual practices is essential for building trust and commitment.

Keys to a successful culture include adaptability, employee involvement, and a focus on continuous improvement. Organizations that foster a positive culture are better equipped to navigate change, attract and retain talent, and achieve long-term success.

Reference: LECTURE CHPT 6 INNOVATION AND CHANGE FROM MGMT.md – “Exhibit 2.3, Three Levels of Organizational Culture” (pg 38) and “Exhibit 2.4, Keys to Successful Organizational Culture” (pg 40)

4. The Human Resource Management Process

The human resource management (HRM) process encompasses the recruitment, selection, training, and development of employees to achieve organizational goals. It begins with workforce planning to identify current and future staffing needs. Recruitment and selection involve attracting qualified candidates and choosing the best fit for the organization. Once hired, employees undergo orientation and training to acquire necessary skills and knowledge.

Performance management is a critical component of HRM, involving regular evaluation of employee performance, feedback, and development opportunities. Compensation and benefits are designed to attract, motivate, and retain talent, while ensuring internal and

external equity. HRM also addresses employee relations, ensuring compliance with labor laws and fostering a positive work environment.

Effective HRM aligns human capital with organizational strategy, driving productivity and competitive advantage. By investing in employee development and engagement, organizations can build a high-performing workforce capable of adapting to changing business needs.

Reference: WEEK ELEVEN LECTURE - HUMAN RESOURCES CHPT 10.md – “Ex 10.1, The Human Resource Management Process” (pgs 200-210)

5. Ethics and AI

The role of global corporations in AI ethics has become increasingly significant as artificial intelligence is integrated into various sectors such as finance, healthcare, and criminal justice. Recent data shows strong public support for companies to establish organizational and procedural mechanisms to address AI ethics, including hiring corporate ethicists, developing codes of ethics, instituting AI review boards, maintaining audit trails, providing AI training programs, and implementing remediation procedures for AI-related harm. These steps reflect a growing awareness of the ethical risks posed by AI, such as inequity, bias, lack of accountability, inadequate privacy protection, and insufficient transparency.

Corporations are urged to embed ethics into their infrastructure by hiring ethicists who can guide decision-making and ensure that AI applications align with public interest and global ethical standards. These ethicists should be empowered to report directly to corporate boards and help foster a culture of ethical awareness. Additionally, companies should publicly share their AI codes of ethics, making their principles and processes transparent to stakeholders and the broader public.

Other recommended measures include establishing internal AI review boards with diverse stakeholder representation, creating audit trails to provide transparency and explainability in AI decision-making, and offering comprehensive AI training programs that address not only technical but also ethical, legal, and societal implications. Furthermore, companies should provide clear remediation processes for addressing harm caused by AI, ensuring that those affected have avenues for redress. By taking these actions, corporations can better respond to emerging ethical challenges and contribute to the responsible governance of AI technologies.

Reference: BUSA_7250_Ethics_and_AI.txt – “The Role of Global Corporations in AI Ethics” sections

6. Basic Financials: Income Statement and Balance Sheet

The income statement and balance sheet are fundamental financial statements that provide insights into a company's performance and financial position. The income statement summarizes revenues, expenses, and profits over a specific period, showing how well the company generates profit from its operations. The balance sheet, on the other hand, presents the company's assets, liabilities, and equity at a specific point in time.

The connection between the two statements lies in the way net income from the income statement affects the balance sheet. Net income increases retained earnings, which is a component of equity on the balance sheet. Conversely, net losses reduce retained earnings. This linkage ensures that the financial statements provide a comprehensive view of the company's financial health.

Understanding how the income statement converts to the balance sheet is essential for analyzing financial performance, making informed decisions, and communicating results to stakeholders. Accurate financial reporting supports transparency, accountability, and strategic planning.

Reference: LECTURE 9 CHAPTER 15 CONTROL.md – “Basic Financials” section (Week 9 Material)